

company paid \$52 billion for Anheuser-Busch in what is now the largest beer merger ever.

In 2010, 3G Capital bought Burger King for \$3.3 billion. Within weeks, the company had fired half the 600 employees at its Miami headquarters, sold off the executive wing, and henceforth required employees to get permission to make color printouts. Since the acquisition, 3G Capital has cut the operating costs by 30 percent. In the meantime, each restaurant introduced new products, including smoothies and snack wraps, and orchestrated a remodeling campaign paid for by the franchise owners. In its fourth quarter 2012 report, Burger King noted a doubled profit and improved cash flows.

In studying the management profile of 3G Capital and the success it has had with each of its deals, I am reminded of another manager whom Buffett considered one of the best in the world, Tom Murphy. The same passion that drove Murphy to slash unnecessary costs and improve the productivity of Cap Cities/ABC businesses is evident in the management team at 3G Capital.

Some have suggested that 3G Capital, being a private equity firm, will look to sell its Heinz investment sooner rather than later. But Lemann insists that 3G Capital intends to hold Heinz for the long term in much the same way it has become a long-term owner of Anheuser-Busch InBev N.V. Just as AmBev served as a platform for the consolidation and future growth of the beer business, so too could Heinz serve as an early platform for the consolidation and future growth of the food industry.

Whether 3G Capital stays or not, Buffett is happy to be a long-term owner. “Heinz will be 3G’s baby,” says Buffett. But of course he adds that “we may increase our ownership if any members of the 3G Group want to sell out later.”⁵⁶

A Common Theme

You may have noticed a standard refrain in these case studies: Warren Buffett is in no hurry to sell, even when the stocks he purchases are doing well. Short-term appreciation doesn’t interest him. Philip Fisher taught him